

risky. In a bear market, euphoria switches to fear; everyone fears a recession or even a financial panic, or perhaps a war. The financial measure of this fear is the increase in the required risk premium before investors will part with their money.

"Buy low, sell high." Fine, but what does "buy low" mean? The answer is, you buy low when the risk premium is high, and you sell high when the risk premium is low. On further reflection, of course, this does not solve the problem, but only restates it. Future risk premiums are no easier to forecast than anything else.

Pessimistic forecasts are rampant in bear markets, of course, but even in the best of times there are always problems out there. The economy's humming, but we could be turning toward a recession by the end of the year. Inflation looks as if it could reignite. The dollar is weak. The balance of payments is terrible; the federal budget a joke. Corporations and consumers are awash in debt. The banks or real estate or some other important sector is in deep trouble. A crisis looms somewhere in the world. There's always a list.

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In bleak periods falling stock prices are not part of the problem. They are part of the solution.

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As a bull market gathers steam, investors pay less and less attention to the problems and more attention to the opportunities. And vice versa in bear episodes. It is important to remember at the bleak times that falling stock prices are not part of the problem, but part of the solution. We all want to buy stocks when the risk premium is high and sell when the risk premium is low.